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The Tingo Group Scam

*This case was written by **Nagendra Kumar M V** and **Indu Perepu**, IBS Hyderabad. It was compiled from published sources, and is intended to be used as a basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation.*

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IBS Center for Management Research (ICMR)

IFHE Campus, Donthanapally,

Sankarapally Road, Hyderabad-501 203,

Telangana, INDIA.

Ph: +91 9640901313

E-mail: casehelpdesk@ibsindia.org



The Tingo Group Scam

“This is the most obvious fraud we’ve ever seen and people just refused to see it for what it was.”

– Tunde Leye, partner at Lagos-based risk intelligence company SBM

On January 02, 2024, the New York Field office of the Federal Bureau of Investigation (FBI) unsealed an indictment charging Odogwu Banue Mmobuosii (Mmobuosi), founder and Co-CEO of Nigeria-based Tingo Group (Tingo)ⁱⁱ with securities fraud. The FBI charged Mmobuosi with conspiracy and for false filings with the Securities and Exchange Commission (SEC)ⁱⁱⁱ. Tingo, an agri-fintech company, was listed on NASDAQ in 2022. Mmobuosi had allegedly inflated the valuation and customer data of Tingo and listed it on NASDAQ through several reverse mergers. With access to funds from the US, Mmobuosi was alleged to have diverted millions of dollars into his accounts. After a report by short-seller Hindenburg Research, in June 2023, the SEC started investigating the Tingo Group. In November 2023, trading on Tingo’s shares was stopped.

The FBI started investigating the case and in January, it reported that Tingo had declared millions of dollars of revenues and assets, which were non-existent. While the company claimed that it had a cash balance of US\$ 461 million in its bank accounts in Nigeria, the investigations revealed a balance of only US\$ 50. After the investigation, the FBI decided to indict Mmobuosi. U.S. Attorney for the Southern District of New York Damian Williams said, *“Dozy Mmobuosi allegedly orchestrated a massive scheme to inflate Tingo Group’s financial statements and make it appear as though the cellular and agriculture companies he founded were profitable and cash-rich companies when, in fact, they were not. With this Indictment, Mmobuosi’s alleged deceitful scheme comes to an end.”*¹

Tingo, founded by Mmobuosi in 2001 in Nigeria, claimed to have brought financial inclusion among the farmers through its unique device-as-a-service model. Through its mobile company Tingo Mobile, it provided farmers with mobile phones, and the farmers paid for it in over three years. Armed with their mobiles, the farmers were able to get weather updates and news about crops and sell their produce at the right price. Tingo went public in the US OTC market in August 2021 through a reverse merger with iWeb, a Thailand-based company. In 2022, it became a NASDAQ-listed company through another reverse merger with a Chinese Fintech company, MICT. The mergers valued Tingo Mobile at over US\$ 1 billion. Tingo then entered other sectors like food processing through Tingo Foods and an end-to-end agriculture value chain through an app called Nwassa. The app connected farmers to suppliers as well as distributors. These developments, along with its strong financials, resulted in an increase in Tingo’s share price.

ⁱ Odogwu Banye Mmobuosi is also called Dosy Mmobuosi.

ⁱⁱ Tingo was an Agri-Fintech company whose business was to provide financial inclusion services to small-holder farmers.

ⁱⁱⁱ The United States Securities and Exchange Commission or the SEC is a federal agency responsible for regulating securities markets and protecting investors.

In June 2023, short seller Hindenburg^{iv} came out with a report that these valuations were based entirely on fabricated financial statements, and that Tingo's operational success was made up. According to the report, the listing gave Mmobuosi access to the U.S. capital markets, and he had acquired thousands of shares through reverse mergers without paying anything. He created false financial statements and forged proofs to show that Tingo was a profitable company with millions of farmers using its phones and services. The company operated from a small building and was thinly staffed.

Later, the SEC and FBI launched a probe. The SEC found that Hindenburg's report was accurate and revealed that Tingo had no operations or customer base even when it was listed on the stock exchange and had only US\$ 50 in its account as of December 2023, while it had reported a cash balance of US\$ 461 million. The SEC reported that Mmobuosi had used the money from the sales of shares to live a lavish life, traveling in luxury cars and private jets.

After a detailed probe, the SEC sued Mmobuosi and his companies^v for false finance figures and forgeries to list the companies in the U.S., for perpetrating fraud on the investing public, and for presenting overstated accounts to sell securities to the public. The SEC prohibited Tingo from transferring money, property, or shares to Mmobuosi. *"Mmobuosi spearheaded a brazen scheme using phony records and fictitious entities to make the Tingo companies he controlled appear highly profitable so that he could hoodwink investors and reap massive benefits at their expense,"* said Antonia M. Apps, Regional Director of the SEC's New York Regional Office.² In November 2023, the SEC halted trading of Tingo on the NASDAQ. In February 2024, Tingo voluntarily delisted from NASDAQ.

The happenings at Tingo were expected to have huge repercussions for Nigerian businesses and fintech companies in emerging markets. Financial Times, which published a detailed account of Tingo, reported, *"The charges against Tingo are another blow to the reputation of fintech 'super apps,' which have emerged in the past decade and sought to disrupt banking by offering payments and other services such as instant messaging and trading. Investors have bet that these new entrants' most promising growth prospects lie in emerging markets such as Nigeria where the need for banking services is most acute."*³

ABOUT MMOBUOSI

Mmobuosi was born in Lagos, Nigeria. He completed a Bachelor of Science degree in political science and a Master of Science degree in economics from Ambrose Alli University in Ekpoma, Edo State^{vi}. Mmobuosi said that he completed his doctorate program in rural advancement from the Universiti Putra, Malaysia, in 2007^{4,vii}. In 2022, Mmobuosi completed the Advanced Management and Leadership Programme at Saïd Business School, University of Oxford.

Since his university days, Mmobuosi had organized events at Nigerian universities. He also ran a magazine. On one occasion, he saw his parents struggling to transfer money to his brother, who was staying in a different place. He felt that transactions would be easy if money could be transferred directly rather than through banks. He then approached a bank to discuss with it the idea of transferring cash using mobile phones and designed an SMS-based platform for cash

^{iv} Hindenburg Research is a financial research firm known for its short-selling activities and publishing critical reports on publicly traded companies.

^v Tingo Group Inc. (NASDAQ listed company), Agri-Fintech Holdings Inc. (OTC Company), and Tingo International Holdings Inc. and their Nigerian operating subsidiaries, Tingo Mobile Limited and Tingo Foods PLC.

^{vi} Edo State is one of the 36 states in Nigeria, located in the southern part of the country. Ekpoma is a town in Edo State.

^{vii} In their 2023 report, Hindenburg Research claimed that it could not verify the information about Mmobuosi's doctorate program from Putra University. The report stated, "We contacted the school to verify the degree. They wrote back saying no one by his name was found in their verification system."

transfers. However, since mobile phone penetration was not high, the bank was not convinced with his idea. A few years later, after mobile phone penetration in Nigeria grew, the bank asked him to develop the system.

The system that Mmobuosi developed allowed people to send money through SMS. The money could be claimed at the bank, even if the recipient did not have an account. The bank successfully used the system.

Mmobuosi then went on to create a social media platform, Naijafans. At that time, it was the only Nigeria-focused social media platform with features like forums, messaging, and emojis. Later, he started Fair Deal, an electronic publishing company, with his father in 2000. The first book Mmobuosi sold was one written by his father. He then started developing software for insurance companies, banks, logistics companies, etc. In 2005, the company began offering hosting services and became a reseller of domain names. Mmobuosi then left Nigeria to do his doctorate program.

After returning to Nigeria in 2008, Mmobuosi dabbled in businesses like renewable energy and invested in the technology business.

THE LAUNCH OF TINGO

In 2011, the Nigerian government started a program called the Growth Enhancement Support Scheme to boost agricultural production by providing subsidies on agricultural inputs to farmers and also offering financial support. The lower cost of inputs encouraged the farmers to use more inputs and, in the process, obtain increased output. Mmobuosi then signed a MoU with the federal government and initiated a data capture project that captured the data of farmers and others working across the entire agricultural sector in 36 states and the Abuja Federal Capital Territory in Nigeria.

Mmobuosi then wanted to introduce technology in the agricultural value chain, and finding that a smartphone was the best way to make technology accessible to all those involved in the agri value chain, he came out with a Device-as-a-Service model with GSM technology to provide customers with personal communication services. He bought mobile phones and rented them out to farmers, as phones were expensive and the farmers could not afford them. With Tingo's leasing model, farmers got access to smartphones by paying between US\$ 3 to 6 a month, depending on the model of the phone, for 36 months. Thus, the farmers did not have to shoulder a financial burden. Tingo committed to replacing and upgrading the mobile devices at the end of three years. The customized mobile phones were procured from suppliers in China and other countries.

The mobile phones came with in-built software that Tingo developed. It also provided banking services through TingoPay. TingoPay embedded an e-wallet to make payments in domestic and foreign currencies. It could be used to pay electric bills, television bills, telephone bills, exam fees, etc.

With mobile and banking services at their fingertips, many unbanked people came under the purview of banking. They were able to send and receive payments for buying agricultural inputs or selling their produce. Through the software, the farmers could access agriculture extension services like technical advice, information on crops, weather forecasts, sector trends, etc.

Between 2014 and 2017, which Tingo considered to be the first cycle (36 months of using the phone), the company studied the market and identified areas that could be improved so that it could deliver high service standards. It established the Tingo Mobile network, reportedly partnering with mobile service provider Airtel^{viii}. Tingo invested heavily in installing portable mobile cellular sites in areas where the network was poor. Thus, it made sure that the quality of network reception, coverage, and service received through the devices were of superior quality.

^{viii} Airtel Networks Limited (Airtel Nigeria), commonly known as Airtel, is a leading mobile network operator in Nigeria.

By 2019, Tingo had become a comprehensive Agri-Fintech and Agri-Marketplace ecosystem with a database of millions of people like farmers, agricultural extension service providers, and logistics partners who were a part of its value chain. By 2019, more than 9 million farmers across Nigeria were using these mobile phones, and Tingo was generating thousands of dollars in revenue. It also provided micro-finance solutions, empowered societies, and worked toward social uplift in rural communities. Thus, it provided a one-stop-shop solution for farmers with the motto ‘Seed-to-Sale.’

In 2020, Tingo launched Nwassa, an online platform that connected farmers to buyers and suppliers. Nwassa was launched as a digital Agri Marketplace supporting the agricultural value chain. The platform allowed farmers from Nigeria and other African countries to sell their farm produce to buyers outside Africa.

Nwassa covered the sale of produce, settlement, brokerage, payment, storage, logistics, etc. The payments were enabled through the TingoPay mobile wallet. The farmers posted their fresh produce on this proprietary platform, and through this platform, Tingo connected the buyers with the farmers. Connecting the producers and buyers was meant to address the high post-harvest losses which were around 60% among rural farming communities in Nigeria.

Using the service, the farmers were required to list their produce once it was ready through SMS. Tingo worked with local logistics and transport providers who picked up the produce, packaged it, transported it, warehoused it, and then delivered it to the customer. Tingo also provided farmers with advice on the best price for their produce. Through the app, farm produce could be shipped directly from farmers in Africa to any part of the world. Nwassa was helped by the payment gateway, escrow system, and Tingo Mobile’s real-time pricing information. This eliminated the intermediaries and helped the farmers access markets directly. Tingo got brokerage from the produce sales.

In nine months, which ended September 30, 2021, the Nwassa platform recorded an income of US\$ 120 million. The platform was expected to process US\$ 4 billion worth of transactions during 2021. By 2021, Tingo was also available in Rwanda, Sierra Leone, Liberia, and Ghana. In these countries, Tingo distributed more than 3 million mobile devices to people in the agricultural value chain.

Tingo emerged as a modern agri-fintech company that offered a mobile series and developed the agri-fintech and agri-marketplace ecosystem, supporting millions of people in the agriculture supply chain. It announced that it was able to promote financial inclusion and digital inclusion, empower societies, uplift rural communities, and provide a wide range of opportunities to the farmers in Nigeria. Forbes said, *“Social upliftment is a key area of global interest under the United Nations Sustainable Development Goals (SDGs) and a key mission driver for Tingo. Tingo’s strategy provides an opportunity for Africa to be a focal point to solve several key areas including food security.”*

In 2021, Mmobuosi appeared in a Forbes Africa article on how ICT was impacting Africa. The Article titled ‘How Tingo is using Agri-Fintech to Change Farming in Africa’ stated that Tingo Mobile had developed a comprehensive Agri-Fintech and Agri-Marketplace ecosystem to support almost 10 million customers within and outside the agricultural sector, becoming a leading provider in Africa of such services over the long term. Services offered included a device as a service (smartphone leasing), Agri-Marketplace, airtime top-ups, utility payments, bill pay, access to insurance and lending services – collectively known as ‘NWASSA’, and TingoPay, a comprehensive mobile wallet, to support financial inclusion and deliver significant social impact in the agriculture sector supporting rural communities in line with UN SDG and ESG principles.⁵

TINGO’S LISTING IN THE USA

Mmobuosi wanted to take Tingo international by listing on a major stock exchange. He believed that such a listing would give it global recognition and help the company spread its activities further. He believed such a listing would ensure future growth as more capital would be available.

In November 2020, Mmobuosi applied for a direct listing on the New York Stock Exchange. The application was rejected. In July 2021, he sold Tingo Mobile to an OTC-listed company, iWeb Inc.^{ix} for US\$ 3.7 billion through an all-stock merger. iWeb paid for the merger through stock. After the acquisition, iWeb changed its name to Tingo Inc. Mmobuosi became the CEO of this new company. Later on, the name Tingo Inc. was changed to Agri Fintech Holdings.

In October 2021, Mmobuosi wanted to uplist Tingo Inc. from OTC to the NYSE. This time, too, it was rejected, as the NYSE stipulated stringent conditions about governance, auditing, liquidity, and market cap. Tingo Inc. was a small company by NYSE standards.

In December, Tingo Inc. sold Tingo Mobile to a NASDAQ-listed MICT^x. Then MICT changed its name to Tingo Group Inc. This was an all-stock merger. Tingo's shareholders owned 75% of the company of the merger. Mmobuosi was the co-CEO of the company and the largest shareholder. Thus, Tingo got a listing on the NASDAQ. The ticker symbol changed from MICT to TIO.

Tingo wanted to enter into the food processing business and start a US\$ 1.6 billion food processing plant. This was to be the largest food processing unit in Nigeria. Through this plant, Mmobuosi wanted to buy produce from millions of farmers using the Tingo marketplace and process it into finished products that could be sold in Nigeria and other markets. To facilitate the faster growth of the food processing unit, in February 2023, Tingo acquired a company called Tingo Foods that Mmobuosi had founded in September 2022, and in just four months, it had a stock of processed food products worth US\$ 204 million and revenue of US\$ 400 million. The Tingo Group acquired Tingo Foods for US\$ 200 million. This meant that the acquisition was equal to the stock Tingo Foods had.

This deal proved to be highly beneficial for Tingo, and on May 19, 2023, the company's share price went up to more than US\$ 5 per share, giving the company a market cap of more than US\$ 1 billion.

In the first quarter of 2023, Tingo Group recorded revenue of US\$851.2 million, marking an increase of 8,801% compared to the same quarter of the previous year. Net income in the quarter amounted to US\$ 176.7 million as against a net loss of US\$8.7 million recorded in the first quarter of 2022. By the end of the quarter, the company's cash and cash equivalents stood at US\$780.2 million, compared to \$279.8 million in the previous quarter. This increase was attributed to the strategic acquisitions of Tingo Mobile (in December 2022) and Tingo Foods (in February 2023). (Refer to **Exhibit I** for the Profit and Loss Statement and **Exhibit II** for the Cash Flow Statement of Tingo)

The financial results were reflected in the stock market with Tingo's stock climbing by 432% in one quarter. However, NASDAQ, in its MarketBeat, stated, *"There should always be an element of concern and cautiousness when a stock enjoys a meteoric rise in a relatively short period. Unfortunately, that is the case with Tingo Group."*

ELEMENT OF CONCERN?

From the time Tingo was listed on the NASDAQ in 2022, Mmobuosi had reportedly spent US\$ 226 million worth of shares on purchasing luxury cars and traveling in private jets. The increasing share price made Mmobuosi a billionaire. In February 2023, he announced his intention to buy the English Football team Sheffield United for 90 million pounds. This announcement made many journalists sit up and take notice, and they tried to get to know more about Mmobuosi. On February 06, 2023, investigative journalist Joey D'Urso from sports magazine The Athletic published an article saying that Mmobuosi was the director of an airline company named Tingo Airlines, registered in the U.K. The journalist said that the airline had declared a share capital of £ 1 billion in 2019 but did not own or fly any planes. Joey D'Urso said that the airline would be cut

^{ix} IWeb was based in Thailand and supplied software to the Thai government and a few companies based in Thailand. As the company was not doing well, it needed to acquire a new business to remain afloat.

^x MICT was a China-based insurance brokerage and wealth management company.

off from the U.K.'s registrar of companies as it had not filed the essential paperwork. He also pointed out an Instagram page with doctored images of Tingo Airlines' airplane, with a website address that was not functional.

This opened up a debate about the need for football clubs and the English Football League to carry out due diligence on all potential investors and sponsors.

On this issue, speaking on CNN, Mmobuosi said that it was a matter to laugh at. He said that he had begun the process to start an airline, and the sudden onset of COVID-19 had meant that he had to abandon his plans of starting the airline in the U.K. He had instead started a company, Omni Tingo, in Nigeria, as a joint venture with Nigerian airline Omni Blue.

Journalists and investigators then found that Omni Blue provided chartered helicopter services in Nigeria, but no evidence of the joint venture was found. They then started investigating the business of Tingo Mobile, and did not find many details of the cell phone leasing and agricultural marketplace business. Though Tingo said it had millions of farmers as subscribers, the Google Play store showed only around 50 downloads of Nwassa.

The investigators further found that several articles that appeared in different prominent magazines, including the article in Forbes Africa.^{xi} Were paid and promotional articles. Similarly, there were videos of prominent people worldwide speaking about Tingo. Later investigations showed that these were people who spoke for payment. One was U.K. politician Nigel Farage. He was commissioned through a website.

In its articles and reports, the company boasted a board of directors with prominent people in it. Most of the board members were foreigners and non-Nigerians. Christopher Charlier, an investment banker from France, was one such board member. He was also the co-chairman of the board. He resigned from the company in 2023, citing a lack of commitment and teamwork from the company's management. He said that his observations and comments remained unaddressed. Other insiders complained that they did not have even basic information about the number of employees or the company's bank account details. They claimed that Mmobuosi refused to provide the details and only provided financial statements audited by Deloitte.

Another concern about the company was that though Tingo was going places, it was unknown in Nigeria. A Nigerian technology entrepreneur said, *"Almost no one in the industry has ever met someone that uses the product."*⁶ Several market participants were alarmed that a company without any product or customer base could get listed on the NASDAQ. This was widely discussed, prompting Hindenburg to probe it.

HINDENBURG REPORT

On June 06, 2023, Hindenburg, the USA-based short seller, came out with a Tingo report titled 'Tingo Group: Fake Farmers, Phones, and Financials – The Nigerian Empire That Isn't'. Bringing to light several loopholes in Tingo and in how it operated, Hindenburg suggested that *"we are short Tingo Group INC because we believe the company is an exceptionally obvious scam with completely fabricated financials."*⁷

The report said there were several 'Red Flags' about Mmobuosi's background, and several of his claims were 'a pure lie'. These ranged from his background, education, and some companies.

Hindenburg claimed that Tingo's Financials were *"glaring enough that we'd expect they could have been spotted by any semi-conscious finance undergrad with severe vision loss. These issues were apparently not glaring enough for the company's auditor, however."*⁸ There were several glaring mistakes in the statements. The cash flow and balance sheet statements did not reconcile and showed significant flaws. The cash balance and interest income showed a lot of discrepancies.

^{xi} Forbes published the article as part of its Brand Voice, a paid program. Forbes specified that articles appearing in the Brand Voice section were commercially supported.

(for example, the cash flow statement showed that the receivables had decreased by US\$ 150.1 million, but the balance sheet showed that the receivables had increased. (Refer to **Table I** for Cash Flow statement and to **Table II** for parts of the Balance Sheet of Tingo). Regarding interest income, as the interest rate in Nigeria was 8% per annum, Tingo for its substantial cash balances would have earned interest income of around US\$ 12 million, but it showed just around US\$ 1.4 million in its statements.

**Table I: Cash Flows from Operating Activities as of March 31
for a Period of Three Months (in US\$)**

Particulars	2023	2022
Net profit (loss)	176,424	(8,845)
Adjustments to reconcile net loss to net cash used in operating activities:		
Loss from equity investment	208	184
Depreciation and amortization	111,055	871
Provision for doubtful accounts	570	118
Shares issued to service providers and employees	6,795	-
Stock-based compensation for employees and consultants	30	125
Changes in assets and liabilities:		
Change in deferred taxes, net	(3,656)	(1,073)
Change in long-term deposit and prepaid expenses	30	(203)
Change in right-of-use assets	259	324
Change in lease liabilities	(265)	(309)
Due to related party	(1,894)	737
Change in accrued interest	1,369	-
Increase (decrease) in trade accounts receivable, net	(150,131)	(3,346)
Increase in other current assets	1,367	(640)
(Decrease) increase in trade accounts payable	(2,458)	(3,606)
Decrease in deposit held on behalf of client	(198)	(198)
Increase in other current liabilities	103,288	401
Net cash provided by (used in) operating activities	242,793	(8,362)

Source: Tingo Q1 2023 10-Q [Pg.6]

**Table II: Current Assets as of March 31
for a Period of Three Months (in US\$)**

Particulars	2023	2022
Cash and Cash Equivalents	780,153	500,316
Trade accounts receivable, net	356,771	11,541
Related party receivables	14,535	13,491
Other Current Assets	4,686	5,828
Total Current Assets	1,156,145	531,176

Source: Tingo Q1 2023 Balance Sheet [Pg.10]

On the food processing facility, Hindenburg said that Tingo had claimed revenue of US\$ 577 million in one quarter without opening any processing facility. Further, Tingo had claimed it had acted as a middleman between farmers and a food processing company, whose name was not disclosed. The company had held a ceremony to lay the foundation for a US\$ 1.6 billion food processing facility. However, the pictures of the ceremony were from Stock photo website. Hindenburg claimed that it had visited the location and had not found any construction activity, contrary to Tingo's claims that it was making significant progress.

Hindenburg found that the inventory of over US\$ 200 million of Tingo Foods that Tingo Group had acquired in February 2023 was not seen in the accounts of the first quarter of 2023 ending March.

TingoPay was not functional, and its PoS system was fabricated, according to Hindenburg. Also, Stanbic IBTC, the bank which Tingo said was associated with Tingo Pay, announced that it did not have any agreement with Tingo pertaining to any payment system.

Regarding the NWASSA platform, Hindenburg found that the website related to the platform had not been functional for several months and had never been fully developed.

One notable point was that Tingo had not disclosed the names of any of its major suppliers, key customers, or important vendors. The names of the banks where the cash deposits were reportedly held were also not disclosed.

Tingo claimed that most of its customers came from two major farming cooperatives – Ailoje Royal Farms Multipurpose Cooperative (4.84 million) and Kebbi Multipurpose Cooperative Society (4.5 million), of which millions of Nigerian farmers were supposed to be members. When local media contacted these cooperative societies, they said that they had less than 100 farmers as members and that they had never heard of Tingo or its mobile phones. A cooperative member said, *"It is simply not true, I don't know anything about this company and I've been running this cooperative for years."*⁹

The owner of Ailoje Royal Farms claimed in a chat with the representatives of Hindenburg, that his family owned the cooperative. He said, *"Tingo Inc. is not known to us. Many have used our business names to swindle and when we are called we disclaim such link. Be guided."*¹⁰

One local agriculture expert said in 2022, *"I've been in this field for more than 20 years and I have built agri distribution chains from all the key farming geographies in the country for some of the biggest companies. Trust me, if any platform has as little as 1,000 farmers, I would know. Let alone 12 million farmers? No single private platform has up to 500,000 farmers in Nigeria at the moment."*¹¹

Hindenburg pointed out that the license with Airtel that Tingo had claimed to have did not exist. While Tingo said it offered mobile services through a Mobile Virtual Network Agreement with Airtel in Nigeria, Airtel said when contacted, *"Airtel Nigeria does not have any MVNO arrangement with any company called Tingo Mobile."*

The Nigerian Communications Commission too said it had no information on Tingo, though the company claimed to be a mobile handset and service provider. Similarly, while Tingo claimed to have entered Ghana, the communication regulator in the country had no information on the company.

Tingo claimed that its handset suppliers included UGC Technologies Company Ltd and Bullitt Mobile Limited. Hindenburg approached the CEO of a company called UGC, who said that the company had no contract with Tingo. He said that the company had submitted a proposal for the supply of phones but had not heard from Tingo again. He reaffirmed, *"We do not provide not even a single unit to them. We manufacture mobile phones, but we don't produce for them."*¹²

Tingo transferred US\$ 434 million to UGC, which it said was based in Africa and not the U.S. However, the SEC filings showed that UGC was a China-based company. In two different filings, Tingo mentioned its name and location differently.^{xii}

^{xii} It was UGC Technologies Company Ltd. in 2022, and UGC Technologies Group in 2021. It was said to be located in Shenzhen Town in one report and Shenzhen City in another.

Another supplier, UK-based Bullitt, said that it had entered into an agreement to supply phones but had not supplied any handsets to Tingo.

The representatives of Hindenburg visited the office of Tingo. They found that there were around eight people working there, and there was a sign about non-payment of tax displayed prominently on the office door. When some journalists in Nigeria were contacted, they said that they had never heard of Mmobuosi or Tingo. This was surprising as any company with 9 million customers that had made a significant impact on the agriculture landscape would have been well-known.

Tingo Foods claimed that in just eight months, it had generated revenue of over US\$ 1 billion and a profit of US\$ 427 million. In the same report, the company said that its food processing plant was still under construction.

TINGO'S STANCE

After Hindenburg's report, the company's share price fell 48% in a day. Tingo, however, said it would investigate the matter further through an outside investigator, a law firm, White & Case LLP. It released a report three months later of an investigation carried out by an independent law firm, whose name was not mentioned.

Tingo clarified that Ailoje was working with 1,100 cooperatives nationwide and Kebbie was a partnership of several societies in Northern Nigeria. Kebbi State had a population of 2.7 million, while Tingo claimed it had given 4.5 million phones in Kebbi.

Regarding Airtel, Tingo said that it had withdrawn from the agreement with Airtel and was working with another vendor whose name was not revealed. Regarding Nwassa, Tingo said that farmers were using the text function on the mobile and not the website or app. It also said that a fintech partner processed and remitted the payments to Tingo's account.

Tingo clarified the points raised in the report and announced its results for the second quarter of 2023, in August 2023. It claimed revenue of US\$ 977 million in earnings and a dividend of US\$ 20 million.

After this report, the company's stock rebounded and grew by 65%. In September 2023, Mmobuosi was elevated to the position of the Co-CEO of the company. He said the company was in a strong position and had over US\$ 400 million cash balances.

THE SEC INVESTIGATION

On December 19, 2023, the SEC issued a notice to stop trading in the Tingo stock. The SEC obtained a temporary asset freeze, restraining order, and emergency relief against Mmobuosi and three entities – Tingo Group Inc., Agri-Fintech Holdings, and Tingo International Holdings Inc. Mmobuosi was charged with massive fraud by the SEC. The SEC reported, *"For years, Mmobuosi and the companies he controlled, TIH, Agri-Fintech, and Tingo Group have intentionally and materially overstated their reported revenues, expenses, profits and assets in their SEC filings, public statements, and the books and records they have provided to their auditors."*¹³

Fabricated Statements

The SEC said the company had carried out fictitious transactions worth billions of dollars. According to the SEC, *"Tingo Group's F.Y. 2022 Form 10-K filed in March 2023 reported a cash and cash equivalent balance of \$461.7 million in Tingo Mobile's Nigerian bank accounts. However, authentic bank records for the duplicate accounts showed a balance of less than \$50 for that period."*¹⁴

The SEC said that the OTC listing and the NASDAQ listing had been done based on inflated valuations and fabricated financial statements. According to the SEC, Mmobuosi had acquired millions of shares and overstated sales, earnings, and assets. He had falsified bank statements and ledgers and doctored documents to substantiate the fabricated financials.

As per the SEC, Tingo Mobile, its assets, revenues, expenses, customers, and suppliers were fabricated entirely and were a sham. It said that in 2016, though one of the auditors had reported negative revenue and loss, Mmobuosi changed the accounts and showed profits. (*Refer to Table III Reported and Actual financials of Tingo*)

Table III: Tingo's Financials Reported Vs Actuals (For year ending June 30)

F.Y. (End June 30)	Reported Revenue	Reported Profit	Reported Cash & Equivalents	Actual Cash & Equivalents
F.Y. 2017	₦80,389,231,000 \$251,216,000	₦10,555,137,000 \$32,985,000	₦128,692,000 \$402,000	-₦5,272.01 -\$15.53
FY 2018	₦126,234,098,000 \$371,277,000	₦27,570,736,000 \$81,090,000	₦111,319,000 \$327,000	₦5,544.39 \$15.40
FY 2019	₦130,180,406,000 \$361,612,000	₦30,007,451,000 \$83,354,000	₦435,370,000 \$1,209,000	₦5,544.39 \$15.40
3-Mo. Ending September 30, 2019	₦143,198,446,000 \$429,595,338	₦33,008,196,000 \$99,024,588	₦487,907,000 \$1,436,721	₦5,544.39 \$15.40

Source: SEC Report

The SEC reported that the auditors' signatures had been forged in the statements. When Mmobuosi wanted to take the company to the international markets, he had restated the accounts in U.S. dollars and brought in a new auditor, a part of Deloitte Network. (*Refer to Table IV for Restated statements*)

Table IV: Restated Statements for Year Ended on December 31 for filing in the US Market

F.Y. (End December 31)	Reported Revenue	Reported Profit	Reported Cash & Equivalents	Actual Cash & Equivalents
F.Y. 2017	\$302,224,1365	\$53,071,396	\$45,111,995	₦5,651.30 \$16.64
FY 2018	\$517,788,064	\$90,240,964	\$138,280,904	₦5,651.30 \$16.64
FY2019	\$520,894,518	\$91,532,074	\$221,740,745	₦5,651.30 \$16.64

Source: SEC Report

Though the board had questioned the inconsistencies in the reports, they said Mmobuosi did not provide them with the basic information. The board said they had demanded to see the Tingo mobile phone and the software used on these phones but never got to see one. Their request to meet the staff and departmental heads of the company was disregarded. Instead of the complete bank statements, the board said they were given only the cover page of the statement.

The SEC revealed that zeros had been added to the actual amounts in the bank statements. (Refer to **Table V** for the fake and real bank statements)

Table V: Tingo – Bank Statements

Fake Statement		Real Statement	
Statement Period :01-Jan-2019 to 02-Jan-2020		Statement Period :01-Jan-2017 to 31-Dec-2019	
Print. Date	02-Jan-2020	Print. Date	02-Jan-2020
Branch Name	OYIN JOLAYEMI BRANCH	Branch Name	OYIN JOLAYEMI BRANCH
Account No	██████████3905	Account No	██████████3905
Internal Reference	██████████3/1/1/0	Internal Reference	██████████3/1/1/0
Address	13, FRAJEND CLOSE, OSBORNE FORESHORE, IKOYI	Address	13, FRAJEND CLOSE, OSBORNE FORESHORE, IKOYI
Account Type	CURRENT ACCOUNT	Account Type	CURRENT ACCOUNT
Currency	Naira	Currency	Naira
Total Debit	130,888,884,000.23	Total Debit	13,888,884.23
Total Credit	130,894,428,000.62	Total Credit	13,894,428.62
Opening Balance	.00	Opening Balance	.00
Closing Balance	5,797,000,000.90	Closing Balance	5,544.39
Usable Balance	5,797,000,000.90	Usable Balance	2.82

Source: SEC Report

Similarly, there had been several instances in which the board was allegedly presented with fabricated statements, showing a profit instead of a loss. When Mmobuosi wanted to list Tingo in the U.S., he got the financial statements made in U.S. dollars. The statement showed losses of US\$ 145 million in six months of 2020. When the board expressed concern about the company's performance leading to losses, Mmobuosi circulated another statement showing a profit of US\$ 125 million. He said that the previous statement had been made by the company and was authorized by the CFO, while the auditor had authorized the latest one. One notable thing in the statement was that there was no change in the revenue, and cash in hand had come down. Mmobuosi refused to explain how cash in hand had changed.

At the same time, the board questioned why Tingo could not pay the essential bills, salaries to staff, fees to accountants and lawyers, etc. The CFO of the company resigned after being in the role for three months, citing the company's inability to pay his monthly remuneration and lack of access to information and tools to discharge his duties. The CTO also complained about not having access to necessary information. The CTO said that he had never seen the Tingo mobile phone but had been asked to develop several applications that could run on the phone. The CTO was also concerned about the lack of evidence to show that 9 million farmers used the phones.

When the board reached out to the auditor directly, the auditor did not reply, and Mmobuosi asked the board not to deal with the auditors. The board was not given information on the details of the main employees or their compensation, reports from departmental heads of the company about operations, accounting processes, bank accounts held by the company, along with the details of authorized signatories, the details of vendors and service providers, etc.

When it came to bank statements also, Mmobuosi said nobody in the company, including the CFO, could access the statements.

Wrong Financials

The SEC said unscrupulous methods had been followed to list the company, and wrong financials were used for listing on OTC through iWeb. Tingo Mobile was acquired from Tingo International Holdings at US\$ 3.7 billion, and Mmobuosi got a controlling stake and one billion shares of iWeb. During the acquisition, Tingo showed revenue of US\$ 616 million and EBITDA of US\$ 220 million for 2020. The listing went through without the board's approval, leading to the chair resigning from the board.

Once the listing was done, the financials were scrutinized by the authorities in the U.S. Mmobuosi then resorted to more and more dishonest methods and elaborate forgeries to evade detection of the falsification of accounts. Forged documents were allegedly created for contracts, invoices, suppliers, customers, general ledger, bank statements, etc. (Refer to **Table VI** for Tingo's Bank account details)

Table VI: Bank Accounts Details of Tingo Mobile

2022	Fictitious Bank Records	Actual Bank Records	Difference	Percentage Overstated
Opening Balance	₦53,093,956,140.72 \$125,221,594.67	₦1,646,632.35 \$3,882.02	₦53,092,309,508.37 \$125,220,017.65	3,224,297%
Credits	₦686,117,076,398.43 \$1,618,200,651.88	₦1,210,870,683.59 \$2,854,686.37	₦684,906,205,714.84 \$1,615,345,965.51	56,563%
Debits	₦651,874,334,027.49 \$1,537,439,467.05	₦1,212,511,682.97 \$2,858,555.11	₦650,661,822,344.52 \$1,534,580,911.94	53,662%
Closing	₦87,336,698,511.66 \$206,053,534.23	₦5,632.97 \$13.28	₦87,336,692,878.69 \$206,053,520.95	1,550,455,495%

Source: SEC Report

2023 (Jan-May)	Fictitious Bank Records	Actual Bank Records	Difference	Percentage Overstated
Opening Balance	₦87,336,698,511.66 \$194,926,233	₦5,632.97 \$13	₦87,336,692,878.69 \$194,926,220	1,550,455,495%
Credits	₦269,428,335,477.68 \$584,773,051	₦68,633,164.72 \$148,963	₦269,359,702,312.96 \$584,624,088	392,463%
Debits	₦352,925,292,972.29 \$65,996,642	₦68,629,851.91 \$148,956	₦352,856,663,120.38 \$765,847,686	514,145%
Closing	₦3,839,741,017.05 \$8,311,128	₦8,945.78 \$19	₦3,839,732,071.27 \$8,311,108	42,922,273%

Source: SEC Report

Non Existent Suppliers

The supplier of mobile phones to Temu was referred to by different names like UGC Technologies China, UGC Technologies Group, UGC Technologies Company, and UGC Technologies Limited. While Tingo showed in its statement that mobile phone supplier UGC had been paid US\$ 1.5 billion between January 2021 and May 2023 through a bank account in Nigeria, it did not pay any money. To show that the sales were done, fake purchase statements from UGC were shown as proof.

Similarly, Tingo showed that it had paid another handset supplier more than US\$ 61 million.

The SEC report showed that apart from Kebbi and Ailoje Royal, Tingo had claimed to have supplied handsets to cooperative societies like the Nigerian Police Force Cooperative Society, All Farmers Association of Nigeria, and Ashanthi Investment Trust. To show that it had received money from these cooperatives for the handsets, Tingo registered domain names like @ailojeroyalcoop.com and @kebbimultipurposecoop.com. @npfcoopsociety.com, @afanng.com, and @ashantiinvestmenttrust.com. Emails from these domains were used to provide false confirmation to auditors. However, in reality, Tingo neither supplied mobile phones to nor received payments from any of the societies it mentioned in its reports, according to SEC.

Form 10-K for 2022 showed cash balances of US\$ 500.3 million, whereas the actual balance was less than US\$ 6000. Such reports continued in the next two quarters also. In the first quarter of 2023, while the cash balance was stated to be US\$ 780 million, the actual balance was less than US\$ 125. That was when Tingo Foods was acquired. In the next quarter, the company claimed to have prepaid over US\$ 140 million to the All Farmers Association to purchase agricultural produce to be processed. However, Tingo Foods' actual statements showed only one debit of US\$ 0.03 in the account during the second quarter of 2023.

After successfully creating falsified statements and convincing all the parties involved, Mmobuosi followed a similar pattern when incorporating Tingo Foods. Tingo Foods was later sold to Tingo Corp in February 2023.

The SEC said Mmobuosi had sold millions of the shares he had held in the company when the price was high. He spent the money on luxurious cars and private jets.

The auditor was based in Tel Aviv, Israel, and audited Tingo remotely. The auditors did not travel to Nigeria, nor did they contact anybody there directly. Another issue that surprised the observers was that Deloitte had offices in the U.S. and Nigeria, yet an auditor from Israel had audited the books.

ROLE OF THE AUDITOR

The role of Deloitte was questioned, as it had signed the reports and had, in fact, given Tingo, an unknown company, the seal of authentication in the U.S. Many investors came forward to invest in Tingo as they trusted the auditor. According to Hindenburg founder Nathan Anderson, *"How many people are going to believe in a Nigerian fintech group that claims to offer mobile services to nine million rural farmers (when) no one can find where any of it was? How do you go from that to NASDAQ and over a billion market valuation? Deloitte and NASDAQ are what lent it credibility."*¹⁵

Experts pointed out that Deloitte had failed to discover that the books were faulty and that fraud was brewing. They also said that Deloitte had failed to notice the gaping inconsistencies, and if it had done its duty, fraud of such proportions would not have happened. Forbes pointed out that Hindenburg had been able to detect the fraud without any insiders only by accessing the company's books, which any auditor could have done. Deloitte had received a fee of US\$ 1.6 million in 2022, and experts opined that it had avoided questioning its client, who was paying such a huge fee.

Forbes pointed out that auditors from Deloitte who checked the books in Nigeria were different from those who checked the books in the U.S.

One of the major defects that even the FBI had pointed out was the cash balance of US\$ 461.7 million, certified by Deloitte. Cash balances were easy to audit and were also the most important item on the balance sheet that needed to be checked thoroughly. Checking the cash balance was one of the basic steps in audit. The auditor usually sent a form to the banks where the balances were maintained and got a confirmation from them. This was done independently by the auditor.

However, others had a different view. Matthias Breuer, an accounting professor at Columbia University's Graduate School of Business, said, *"As outsiders, we'd like to think that auditors are looking for fraud, but fraud detection isn't one of their mandates. Auditors don't go into their work with an adversarial mindset. Their mandate isn't to be a whistleblower, and because of that it's usually insiders and short-sellers that uncover these issues."*¹⁶

Deloitte claimed that Mmobuosi had sent them forged financial statements.

One of the largest expenses that Tingo showed was that of mobile phones, as it had purportedly purchased millions of phones to be given to farmers. Tingo claimed the phones were acquired from UGC Technologies in China for US\$ 1.5 billion. When the auditors wanted to contact UGC for confirmation, Tingo provided them with an email id, and the mail to the given id confirmed that UGC had supplied the phones.

Later, it was confirmed that Mmobuosi and his associates had purchased the domain UGC Technologies and were using the mail id, and that the company UGC Technologies did not exist.

AFTERMATH

After completing its investigation, the SEC suspended trading in the Tingo Group on November 13, 2023. The next day, Tingo reported its third quarter earnings of US\$ 586.2 million and profits of US\$ 20.7 million. In November 2023, NASDAQ initiated its own trading halt following the SEC's suspension of trade.

In December 2023, the SEC filed complaint against Mmobuosi and three U.S. entities of which he was the CEO in connection with *"an alleged multi-year scheme to inflate the financial performance metrics of his companies and key operating subsidiaries to defraud investors worldwide."* The SEC said that Tingo Mobile was fictitious and the scope of the fraud was staggering. All the revenues of the company, assets, expenses, customers and suppliers were entirely fabricated.

The SEC further reported that Mmobuosi held hundreds of thousands of shares in the listed companies and had liquidated his stock. Between May and June 2023, he had sold 10 million shares of the company but had not filed the required forms disclosing sales. The SEC reported that at least US\$ 26 million had been siphoned off from Tingo's accounts to Mmobuosi's personal accounts. In December 2023, Mmobuosi stepped down as interim Co-CEO of the company and resigned from the board.

According to the FBI, Mmbousi could face 45 years in prison for conspiracy, securities fraud, and false filings with the SEC. The FBI claimed, *"With this indictment, Mmobuosi's alleged deceitful scheme ends."*¹⁷

In February 2024, Tingo expressed its intention to voluntarily terminate the listing of its common stock on the NASDAQ. This came in the aftermath of the company's failure to maintain a minimum bid price of US\$ 1.00, for over month. NASDAQ also pointed out Tingo's failure to meet several other requirements pertaining to the audit committee, false finance statements, and non-compliance. The company then decided to delist from NASDAQ.

Mmobuosi was accused of falsely representing Tingo Mobile and Tingo Foods as operational and profitable and reaping millions of dollars in illicit profits through illegal share sales valued at Pounds 16 million from different companies.

Mmobuosi claimed that he was being targeted as he was a Nigerian and an African, and Wall Street had failed to understand his message. The media in Nigeria pointed out that Hindenburg had attacked several African companies, such as Jumia and Opera, and had adversely impacted the digital revolution in Africa.

Even by the end of February 2024, Mmobuosi claimed that the allegations needed to be proved in court. He said he had several other accounts in different banks, but the SEC and investigators had seen only one. He said there might have been some lapses in the internal controls but the company was still doing well. He claimed that none of the investigators had contacted him, and he could provide answers to all the points raised.

Exhibit I:
Tingo Profit and Loss Account

Period Ending:	12-31-2022 (US\$)	12-31-2021 (US\$)	12-31-2020 (US\$)	12-31-2019 (US\$)
Total Revenue	146,035	55,676	1,173	477
Cost of Revenue	81,243	46,456	1,231	846
Gross Profit	64,792	9,220	(58)	(369)
Other Operating Items	5,590	2,925	1,847	20
Operating Income	(11,792)	(37,896)	(16,579)	(3,869)
Addl Income/expense items	2,151	133	200	299
Earnings Before Interest and Tax	(10,391)	(39,302)	(23,962)	(4,365)
Interest expense	-	-	-	388
Earnings Before Tax	(10,391)	(39,302)	(23,962)	(4,753)
Income Tax	37,474	1,791	326	17
Minority Interest	(746)	(1,581)	(121)	(795)
Equity Earnings/Loss Unconsolidated subsidiary	1,542	730	644	553
Net Income-Cont. Operations	(47,069)	(38,362)	(23,113)	(5,012)
Net Income	(47,069)	(36,428)	(22,992)	(4,217)
Net Income Applicable to Common Shareholders	(47,069)	(36,428)	(22,992)	(4,217)

Source: NASDAQ

Exhibit II:
Tingo Cash Flow Statement

Period Ending:	12-31-2022 (US\$)	12-31-2021 (US\$)	12-31-2020 (US\$)	12-31-2019 (US\$)
Net Income	(47,069)	(36,428)	(22,992)	(4,217)
Cash Flows-Operating Activities				
Depreciation	39,766	3,088	1,780	88
Net Income Adjustments	7,930	15,891	4,447	1,415
Changes in Operating Activities				
Change in Inventories	-	-	5	348
Other Operating Activities	31,677	(2,683)	6,539	-
Liabilities	7,502	9,105	2,779	(431)
Net Cash Flow-Operating	46,011	(31,336)	(8,300)	(3,797)
Other Investing Activities	406,863	(3,899)	(2,770)	(608)
Net Cash flows-Investing	366,961	(8,853)	(3,279)	(1,040)
Cash Flows-Financing Activities				
Sale and Purchase of Stock	-	107,920	23,006	6,152
Net Borrowings	(10,715)	1,682	14,424	(274)
Other Financing Activities	-	-	-	-
Net Cash Flows-Financing	(10,715)	109,602	37,430	5,878
Effect of Exchange Rate	1,256	97	(1)	-
Net Cash Flow	403,513	69,510	28,850	1,041

Source: NASDAQ

End Notes:

- ¹ Founder And Former CEO Of Tingo Companies Charged With Securities Fraud, www.justice.gov, January 02, 2024.
- ² SEC Charges Tingo Mobile Founder, Three Companies with Massive Fraud and Obtains Emergency Relief, www.sec.gov, December 19, 2023.
- ³ Aanu Adeoye, Akila Quinio, Ortenca Aliaj, A fiction': the fall of a Fintech Star Accused of 'Massive Fraud', www.ft.com, December 24, 2023.
- ⁴ How Dozy Mmobuosi went from University Show Promoter to Running a Global Company, www.vanguardngr.com, May 02, 2020.
- ⁵ How Tingo Is Using Agri-Fintech To Change Farming in Africa, www.forbesafrica.com, 2022.
- ⁶ Aanu Adeoye, Akila Quinio, Ortenca Aliaj, A fiction': the fall of a Fintech Star Accused of 'Massive Fraud', www.ft.com, December 24, 2023.
- ⁷ Tingo Group: Fake Farmers, Phones, and Financials—The Nigerian Empire That Isn't, <https://hindenburesearch.com>, June 6, 2023.
- ⁸ Brandon Kochkodin, How Auditor Deloitte Missed A Nigerian Company's Massive Fraud, www.forbesafrica.com, January 2024.
- ⁹ Henry Nzekwe, Fuzzy Details Mar Tingo's Obscure Billion-Dollar Business In Nigeria, <https://weetracker.com>, March 16, 2022.
- ¹⁰ Tingo Group: Fake Farmers, Phones, and Financials—The Nigerian Empire That Isn't, <https://hindenburesearch.com>, June 6, 2023.
- ¹¹ *Ibid.*
- ¹² *Ibid.*
- ¹³ <https://www.sec.gov/files/litigation/complaints/2023/comp25913.pdf>
- ¹⁴ *Ibid.*
- ¹⁵ Aanu Adeoye, Akila Quinio, Ortenca Aliaj, A fiction': the fall of a Fintech Star Accused of 'Massive Fraud', www.ft.com, December 24, 2023.
- ¹⁶ Brandon Kochkodin, How Auditor Deloitte Missed A Nigerian Company's Massive Fraud, www.forbesafrica.com, January 2024.
- ¹⁷ Frank Eleanya, Tingo CEO faces 45 years in Prison for U.S. Securities Fraud, <https://businessday.ng>, January 03, 2024.